

Two minutes later a small voice goes – *belt ne pakad liya*, the belt held me back. Kid also realizes that the responsibility of staying in the seat now belonged to the belt, and it can then focus on other stuff, like consuming a steaming *bhutta* (corn) using both hands, rather than one.

Take a moment to reflect and tell me yourself why you are afraid of long-term money commitments. I've had hundreds of people who have called in on the various TV shows I've done, and each time I've asked the question 'Why don't you want to invest for the long-term?', the answer almost always is 'What if there is an emergency? I won't be able to use my own money if it is tied up in a long-term investment.'

The unwillingness to take risks also comes from this fear of not having the money when it is needed. Therefore, people stay with money in near-liquid products or bank deposits that are easily cashed if need arises.

It is a reasonable fear. We all do have situations where we need the money – it could be a medical emergency, a job loss, some disability or health issue that prevents us from earning. But there is a way to keep money aside for such emergencies and then free up our savings for the future.

Let's understand the logic of having a defined emergency fund. You'd typically need money 'midway' under two circumstances – planned and unplanned events. Think about your car. You know that the car will go for servicing, and will need money for that. You know that after seven to eight years there will be costs associated with repair and possibly the cost of a new car. This stuff we can plan for. In life, the planned expenses – such as buying a car, making the down payment for a house, sending kid to biz school, going on a foreign holiday, staying fifteen days at Jindal Farms to cure your back problem, sending brother to detox in Ananda – are all things you can prepare for. We'll talk about planning for such events in [Chapter 10](#) and what products work best for different goals.

What about the unplanned things – like the car getting rammed while quietly parked outside the house and needing a fender change? These are unplanned expenses, and unless you have a comprehensive car cover, you will be out of pocket for the cost of getting the car back in shape. There are many such unplanned emergency expenses that living our urban mass affluent life brings